
ALTERNATIVE FUTURES ANALYSIS

Systematically explores multiple ways a situation can develop when there is high complexity and uncertainty.

WHEN TO USE

Alternative futures analysis (often referred to as “scenarios”) is most useful when a situation is viewed as too complex or the outcomes as too uncertain to trust a single outcome assessment. First, analysts must recognize that there is high uncertainty surrounding the topic in question. Second, they, and often their customers, recognize that they need to consider a wide range of factors that might bear on the question. And third, they are prepared to explore a range of outcomes and are not wedded to any preconceived result. Depending on how elaborate the futures project, the effort can amount to considerable investment in time, analytic resources, and money. A team of analysts can spend several hours or days organizing, brainstorming, and developing multiple futures; alternatively, a larger-scale effort can require preparing a multi-day workshop that brings together participants (including outside experts). Such an undertaking often demands the special skills of trained scenario-development facilitators and conferencing facilities.

This technique is a sharp contrast to contrarian techniques, which try to challenge the analysts’ high confidence and relative certitude about an event or trend. Instead, multiple futures development is a divergent thinking technique that tries to use the complexity and uncertainty of a situation to describe multiple outcomes or futures that the analyst and policymaker should consider, rather than to predict one outcome.

VALUE ADDED

Alternative futures analysis is extremely useful in highly ambiguous situations, when analysts confront not only a lot of “known unknowns” but also “unknown unknowns.” What this means is that analysts recognize that there are factors, forces, and dynamics among key actors that are difficult to identify without the use of some structured technique that can model how they would interact or behave. As the outcomes are not known prior to the futures exercise, analysts must be prepared for the unexpected and willing to engage in a more free-wheeling exchange of views than typically occurs in order to “imagine the future.” Given the time and resources involved, scenario analysis is best reserved for situations that could potentially pose grave threats or otherwise have significant consequences.

From past experience, analysts have found that involving policymakers in the alternative futures exercise is the most effective way to communicate the results of this exploration of alternative outcomes and sensitize them to key uncertainties. Most participants find the process of developing such scenarios as useful as any finished product that attempts to capture the results of the exercise. Analysts and policymakers can benefit from this technique in several ways:

- It provides an effective means of weighing multiple unknown or unknowable factors and presenting a set of plausible outcomes.
- It can help to bound a problem by identifying plausible combinations of uncertain factors.
- It provides a broader analytic framework for calculating the costs, risks, and opportunities presented to policymakers by different outcomes.

“The future is plural.”

—Peter Schwartz,
author of *The Art of
the Long View* and
a widely acclaimed
scenario developer.